

ROI Analysis

Paradise Planner - Sprint 2

This ROI analysis uses the team's current budget and revenue model. Because Sprint 1 did not establish measured sales or affiliate-conversion data, the revenue figures below are planning assumptions for scenario analysis and should be verified by the team before submission.

1. Cost Basis

Cost element	Current value
Base build (labor + non-labor)	\$79,961.68
Contingency reserve	\$49,750.00
Cost baseline	\$129,711.68
Management reserve (5%)	\$6,485.58
Total initial budget request	\$136,197.26
Annual operating cost	\$94,550 used for this ROI analysis based on the component arithmetic. Budget summary states \$94,950; team should confirm which is intended.

2. Revenue Model Carried Forward from Sprint 1

The Sprint 1 business strategy describes a one-time app price of \$1.99 and additional affiliate-partnership revenue tied to travel bookings or related services. Sprint 2 must translate that model into measurable benefit assumptions before a defensible ROI can be calculated.

Revenue input	Status for Sprint 2 ROI
App price per paid download	\$1.99 - defined in Sprint 1 strategy
Expected paid downloads / users	100,000 paid downloads in Year 1 (expected-case planning assumption; sensitivity range 50,000-200,000)
Affiliate conversion rate	5% expected; sensitivity range 3%-8%
Average affiliate revenue per converted user / booking	\$12 expected; sensitivity range \$8-\$15
Analysis horizon (e.g., years)	1 year after launch, plus initial build cost
Annual growth / churn, if used	Not modeled in the 1-year analysis

3. ROI Formula

For Paradise Planner, total benefits should include paid-download revenue plus affiliate revenue over the same analysis horizon used for costs. Total costs should include the initial budget request and the applicable operating costs over that horizon.

4. Break-Even Reference Points

The following calculations are not a revenue forecast. They show the number of \$1.99 paid downloads that would be required if affiliate revenue were zero.

Cost target	Break-even at \$1.99/download
Initial budget request only (\$136,197.26)	Approximately 68,441 paid downloads
One year of operating cost using \$94,550	Approximately 47,513 paid downloads per operating year
Initial budget + one year operating cost using \$94,550	Approximately 115,954 paid downloads

If the team resolves the operating-cost total as \$94,950 instead, the one-year and combined break-even figures must be recalculated.

5. Cost-Side Sensitivity

Scenario	Effort / cost implication	Meaning
Low effort	331 hours; labor-only at \$76/hour = \$25,156	Represents the lowest estimate across the two methods.
Expected effort	Approximately 555 hours; labor-only at \$76/hour = \$42,180	Current planning value used in the budget.
High effort	828 hours; labor-only at \$76/hour = \$62,928	Represents the highest estimate across the two methods.
Partner-service risk materializes	Budgeted EMV contribution: \$40,000	Largest quantified risk in the one-page budget.
Higher recurring data / hosting cost	Increases annual operating cost and raises the break-even threshold	Important because the product depends on external data and services.

6. Revenue Sensitivity Template

Scenario	Paid downloads	Affiliate revenue	Total benefits	ROI
Conservative	50,000	3% x \$8 = \$12,000	\$111,500	-51.7%
Expected	100,000	5% x \$12 = \$60,000	\$259,000	+12.2%

Scenario	Paid downloads	Affiliate revenue	Total benefits	ROI
Upside	200,000	8% x \$15 = \$240,000	\$638,000	+176.5%

ROI uses total first-year cost of \$230,747.26 (\$136,197.26 initial budget request + \$94,550 operating cost). App-sale revenue equals paid downloads x \$1.99. Affiliate revenue equals paid downloads x conversion rate x average affiliate revenue per conversion. ROI = (total benefits - total costs) / total costs.

7. Assumptions Used for This Analysis

1. Annual operating cost used: \$94,550. This is the arithmetic total of the listed annual components (\$36,000 infrastructure + \$4,800 tools/licenses + \$24,000 third-party data + \$29,750 support). The budget summary lists \$94,950, so the team should confirm the intended figure.
2. Analysis horizon: 1 year after launch, plus the initial build cost.
3. Paid-download scenarios: 50,000 conservative; 100,000 expected; 200,000 upside.
4. Affiliate assumptions: 3% conversion at \$8 average revenue per conversion (conservative); 5% at \$12 (expected); 8% at \$15 (upside).
5. Expected-case break-even is about 89,092 paid downloads when each download contributes \$1.99 plus an expected \$0.60 of affiliate revenue (5% x \$12).
6. These values are scenario assumptions, not measured forecasts. The team must verify the financial inputs and write its own go/no-go reasoning, consistent with the course AI rules.